

Table 62.1 Identification Guidelines

Points	Discussion
1, 2	This is the base. It may or may not appear and has no significance.
3, 5, 7	These points form the three peaks pattern. It's not a triple top where price needs to peak near the same price. The shape of the peaks may be flat or pointed. The time between peak 3 and 7 is about 8 months.
4, 6, 8	These are valleys between peaks 3, 5, and 7. The drop to the valley floor can be considerable (that is, the retrace of the move up from 2 to 3 can be large).
8, 9, 10	This is the separating decline. Price drops in at <i>least</i> two selling waves (7 to 8 and 9 to 10). The word <i>least</i> suggests there can be multiple selling waves, so be flexible. The separating decline divides the three peaks from the domed house, making both look squarish.
10	Valley 10 is always lower than 4 or 6 and often lower than both.
11–14	Price bottoms at 10 and then recovers to form at least two valleys that test the low at 10. The peaks and valleys here should look symmetrical, not irregular.
14–23 or 27	The time from turn 14 to 23 should be 7 months and 8-to-10 days, but the measure from 14 can include peak 27. In other words, be flexible and don't exclude a pattern because the duration is incorrect. If price at 12 or 14 fails to test the low at 10 (or 12 or 14 are absent), then try using valley 4 or 6 in the 7-month calculation to better predict the domed house peak.
15	Price rises quickly and steeply to peak 15, forming the left wall of the first story.
15–20	Look for price to form five waves here, 15–16, 16–17, and so on, ending at 19–20. Price bounces between peaks and valleys, forming the first-floor roof.
20–21	This is the second story's left wall. It's the move up to 21 from 20.
21–25	This is the dome of the house. Price forms another set of peaks and valleys, trying to move to a new high but failing.